Since the financial year 1987–88, there was a terminology change in Indian public finance literature when developmental and non-developmental expenditures were replaced by the new terms plan and non-plan expenditures, respectively. (It was suggested by the Sukhomoy Chakravarti committee.)[7]

Meanwhile, a high-power Panel headed by Dr. C. Rangarajan (Chairman, Prime Minister's Economic Advisory Council), in *September 2011* suggested for redefining ***Plan*** and ***Non Plan*** expenditures as the ***Capital*** and ***Revenue*** expenditures as the former set of terms 'blur the classification' – this will facilitate linking expenditure to 'outcomes' and better public expenditure, the panels suggested. *Major* suggestions of the Panel are:

- *Plan* and *Non-Plan* distinction in the Budget is neither able to provide a satisfactory classification of 'developmental' and 'non-developmental' dimensions of government expenditure nor an appropriate budgetary framework. It has therefore become 'dysfunctional',
- Suggests for *redefining roles* of the Planning Commission (PC) and the Finance Ministry (FM) as per which the PC should be responsible for formulation of the five-year plan and the task of firming up annual budgets should be entrusted to the FM.
- The PC should dispense with the exercise of approving annual plans of states and it could hold a strategy or review meeting with representatives of the states.
- Public expenditures should be split into *capital* and *revenue* expenditures.
- Public expenditure should have 'management approach' based on measurable 'outcomes', indicating that the reponsibility should be assigned to the Finance Ministry.

Analysis of the Situation: While the need for looking beyond the budget is well accepted, there are many factors raising doubts on the 'efficacy' and 'relevance' of the five-year plans as the instrument. The division of expenditure between *Plan* and *non-Plan* is artificial and creates problems, such as –